DORTONS

WHISKY CLUB

WHISKY CASK

INVESTMENT GUIDE

THE

With over a decade of experience behind us,

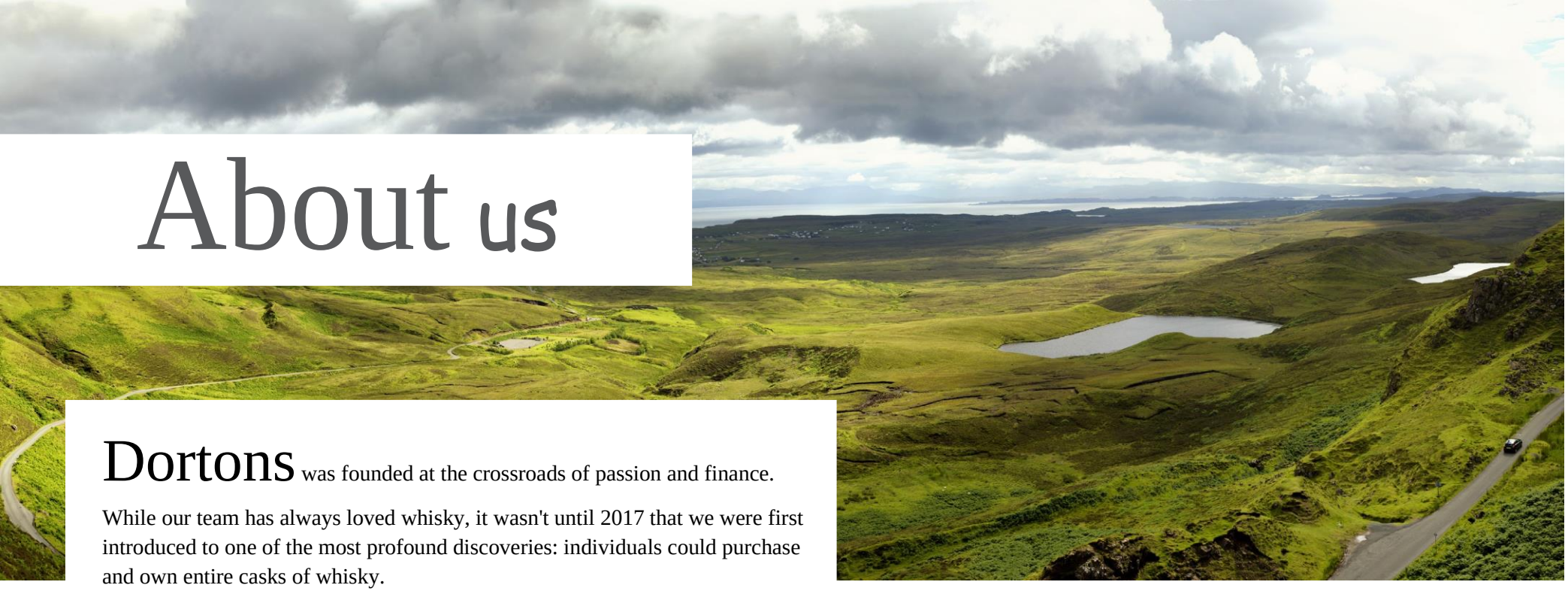
SPIRIT

we source and manage investment in the finest

OF

Scotch and Irish Whisky Casks

INVESTMENT



About us

Dortons was founded at the crossroads of passion and finance.

While our team has always loved whisky, it wasn't until 2017 that we were first introduced to one of the most profound discoveries: individuals could purchase and own entire casks of whisky.

Dortons was established with one primary objective in mind: to help you own tangible and luxury items that increase in value over time. We believe the feeling of ownership is so powerful that we will use every available resource we can to demonstrate that acquisition is our passion.

For over 30 years, we had been immersed in the world of tangible assets, but we had never seen an opportunity like this. Since whisky continues to develop flavor and appreciate in value only while contained within the cask, this creates a very interesting dynamic for investors.

Based within the beautiful scenery of St Albans, Hertfordshire, Dortons is committed to helping investors around the world unlock the power of premium whisky investment to build stronger and higher-yielding portfolios. We have established relationships with premier distilleries all over Scotland and Ireland, delivering a friendly and professional approach to whisky investing.

Dortons Whisky Club has accumulated an immense team of knowledgeable market specialists to help guide you through the smooth process of selecting and building your premium whisky cask portfolio.

Why invest in whisky?

Whisky proven to be the best performing asset of the decade

Market Performance

The Knight Frank Wealth Report 2019 states rare whisky is the best performing collectible asset of the past decade, growing an immense 582% in the past 10 years. Scotch whisky accounted for 75% of Scottish food and drink exports, 21% of all UK food and drink exports, and 1.4% of all UK goods exports.

The global Irish whisky market size reached US$ 4.7 billion in 2022. Looking forward, IMARC Group expects the market to reach US$ 7.5 billion by 2028, exhibiting a growth rate (CAGR) of 7.44% during 2023-2028.

Revenue in the Whisky segment amounts to US$ 88.07 billion in 2023. The market is expected to grow annually by 5.18% (CAGR 2023-2027).

Of course, if you want to make some cash in the whisky game, you have to resist the temptation to drink the delicious liquor for the next few years.

Scotch Whisky export value increased in the first half of 2018 by a 10.8% rise in the value of exports against the same period last year.

As it stands, whisky is one of the most stable physical assets on the market, with Bloomberg going as far as to call it 'liquid gold.' A far cry from the intangible and unstable investment in cryptocurrencies that gripped investors.

One of the unique aspects of whisky cask investing is that the whisky continues to mature over time. In stark contrast to other tangible assets like precious metals, property, or art, whisky contained in a cask naturally gets better with time, and its scarcity increases. This powerful characteristic means that value grows exponentially as the whisky is held in your portfolio. For each 5 years of maturation, an average cask will nearly double in value.

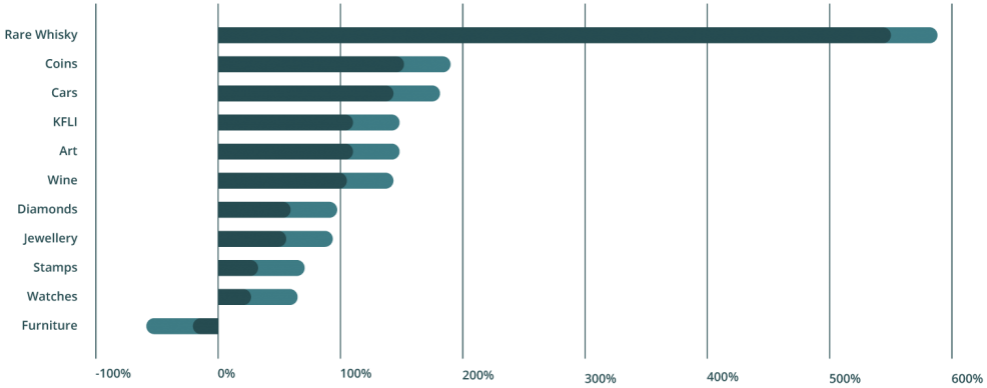
why invest?

Benefits of Whisky Cask Ownership

Average Annual capital growth of 13.09%, the opportunity for whisky investment has never been greater.

Benefits Of Whisky Casks Ownership

- Physical and stable Asset Ownership
- Rising Demand and increasing scarcity
- Healthy returns. As your whisky matures to its optimum depth and character, the more valuable it becomes
- Exempt from Capital Gains Tax
- Fully insured by the HMRC
- Hands Off: Your cask will be stored in a bonded warehouse



2024 is expected to be another year of growth and opportunities for the whisky cask investment market. The increasing demand for rare and exclusive whiskies, the rise of technology, and the solid performance of specific whisky regions are expected to drive the market forward.

In terms of specific whisky regions, Scotland is expected to continue to be a solid blue-chip investment option in 2024. Its rich history and reputation for producing premium Scotch whisky make it a popular choice.

Whisky cask investments are a lucrative opportunity to buy a tangible asset that will gain intrinsic value within a relatively short time span. Recent reports have found that whisky cask investments performed better than the S&P 500, gold, and even Bitcoin.

Whisky has been proven to outperform the stock market and the property market. It is no surprise that investors are switching from their traditional investments to this high-performing, tangible asset class. Across the decade, it almost trebled investors' returns, and with every country in the world drinking whisky in 2023 and export figures rising, we can only expect that growth to continue upwards

13.09%
average annual capital growth

dortons benefits

Whisky over the years

Where It all Began Scotch Whisky

The story of Scotch whisky begins as early as the 15th century. The earliest documented record of distilling in Scotland occurred in 1494.

An entry lists 'Eight bolls of malt to Friar John Cor wherewith to make aqua vitae.' Friar John was in luck – this was enough malted barley to produce almost 1,500 bottles of a potent spirit, which would be refined and improved in the years ahead.

During the 19th century, titans of the whisky world, such as James Buchanan, Tommy Dewar, Johnnie Walker, and James Chivas, took Scotch out of Scotland for the first time

Using their entrepreneurial spirit, they took whisky out to the British Empire and far beyond, creating an enduring love of Scotch from Hong Kong to Hanoi, Sydney to San Francisco, Montreal to Mumbai, Bogota to Berlin, Cape Town to the Cape Verde Islands. The export markets they built are the foundation stone of Scotch whisky's success today.

Five centuries after it all started, in 1994, the Scotch Whisky industry celebrated the 500th anniversary of whisky production in Scotland – and did it in style! For the first time, global exports of Scotch Whisky broke through the £2 billion mark.

Today, Scotch Whisky is enjoyed in almost every country around the world. In 2022, exports of Scotch Whisky surpassed £6 billion for the first time.

A global industry, more than 500 years in the making.

Whisky over the years

Where it all began

Irish whisky was one of the earliest distilled drinks in Europe, arising around the 12th century. It is said that Irish monks invented the elixir we now know as whisky, and were so fond of it they called it uisce beatha (Water of Life)

In Ireland, any discussions about uisce beatha or whisky were mainly done vocally and no written records are found, this is mainly because they didn't want the British to have any trace of their home brewing whisky.

The oldest known documented record of whisky in Ireland was in 1405; in the Annals of Clonmacnoise it was written that the head of a clan died after "taking a surfeit of aqua vitae" at Christmas.

For the next two centuries, whisky-making was a technical skill reserved exclusively for monks, until Henry VIII of England dissolved the monasteries and distillation became the purview of the general public. This was the mid-1500s, and not long after, we start to see the proliferation of whisky distilleries across the British Isles.

In the 21st century, new trends emerge. Consumer demand for full-flavored, premium spirits starts to explode, driven in large part by the emerging markets of East Asia, specifically China. We see the popularity of Bourbon and Japanese Whisky at all-time highs.

Today, we know that Ireland was the first to export whisky globally, and the earliest written evidence we can find of who invented whisky points to the Irish.

Those debates about when whisky was invented or where was whisky invented, will rumble on for centuries to come. But we've certainly come a long way from the first whisky ever made by those nomadic monks of the previous millennium.

The global Irish whisky market was valued at US$ 4.7 Billion in 2022.

Irish whisky

Scotch whisky casks

Scotch has been with us for centuries, and judging by the industry's current metrics. (Some $5 billion in annual business), it will be with us for centuries to come. Thank goodness for that, because a world without scotch is far too terrible to imagine.

The Process (Preparation and Production)

The wooden casks are made of oak wood. Casks of pinewood are not suitable for maturing, as the resin embedded in the wood prevents the whisky from breathing. Oak wood is cut into staves, which are then bent into their rounded shape at a high temperature. These bent staves are then 'bound' together with metal hoops. It is important that the hoops are adjusted accurately so the casks are watertight.

During the maturation of whisky, slow chemical reactions take place between alcohol and wood. These reactions increase the number of esters and aldehydes in the whisky. The intimate contact of the whisky with the wood of the cask wall is of crucial importance.

For a few years now, oak casks that were previously used for the aging of other products such as Port Wine, Wine, or Brandy have also been used for the aging of whisky. This results in unique whiskies that draw additional flavors from the products previously aged.

Scotch Whisky Flavoring

Scotch sometimes carries a striking smoky flavor if distillers use peat during kilning. The extent of this depends on the quantity of peat used. Maturing in a cask can introduce fruit and vanilla notes. The cask that you will mature your whisky in plays a significant role in the end flavor of your end product.

> ***"I Should Have Never Switched From Scotch To Martinis"***
>
> ***Humphey Bogart (his last words)***

Scotch whisky

Irish Whisky Casks

The Process
(Preparation and Production)

Irish Whisky is unique No other nation's whiskies, as Irish whiskey is permitted to be matured in wood. The maturation of Irish whiskey is a beautiful process, and to taste your whiskey along its years of growth is an experience and an achievement. Wood has many natural oils, which are called vanillins. These oils offer a wide range of flavors for the spirit during the maturation process.

Irish whiskey is typically distilled from unmalted barley, though some may include malted barley. Closed kilns are used to dry the malt, so it is only exposed to hot air and not smoke. Fermentation can include additional enzymes to prepare the starches for conversion to alcohol. After that, it is distilled three times in copper pot stills. Some, particularly grain whiskies, use continuous column stills. There are many different flavour profiles in the world of whiskies, because of many different factors.

As much as 60% of a whisky's flavour comes from the cask it was matured in. Ex-bourbon casks, or American oak, aren't the only casks used in Irish whisky production; European oak is popular choice, and these barrels commonly come in the form of sherry, port or wine casks.
Irish whisky is one of the world's great styles of whisky. It's most often triple-distilled from unmalted barley that is typically blended with grain whisky, though there are single malts as well. Made entirely in Ireland, it's a favourite worldwide, especially in the U.K. and U.S., due to its exceptional smoothness, light, fruity and classic taste

The Irish Whisky Act, specifies that Irish Whisky must be aged in Ireland for 3 years before it can be called Irish Whisky

Irish whisky has a distinct flavour profile that is sort after globally

Your Future with

DORTONS WHISKY CLUB

Dortons Whisky Club has accumulated an immense team of knowledgeable market specialists to help guide you through the smooth process of building your whisky cask portfolio.
Dortons Whisky Club WOWGR certificate
(Departmental Trader Registration Number : 030 8098 35 0000)

Speak to a member of our team today
to help guide you toward your future

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